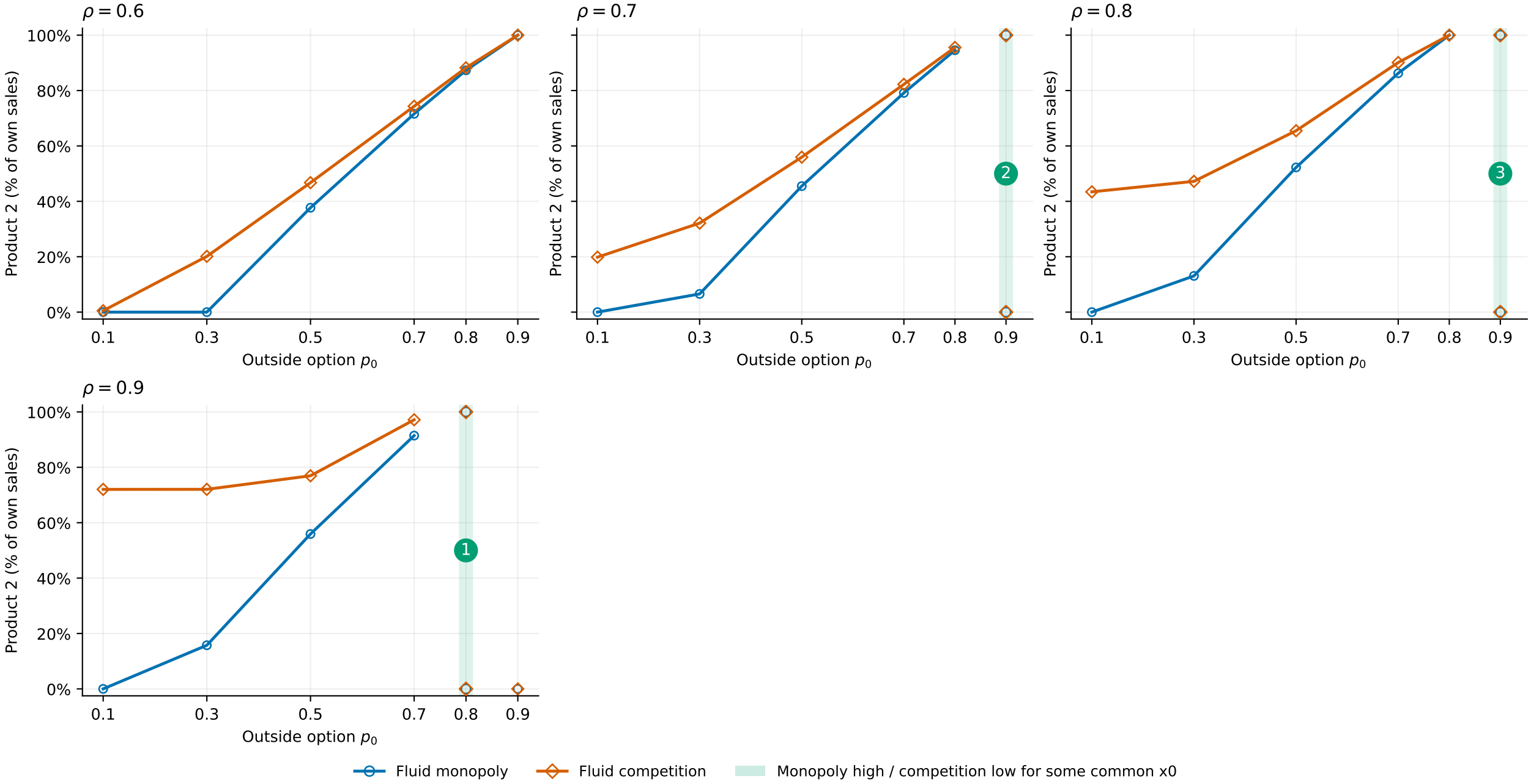
Monopoly can exceed competition from a common initial reputation
Green bands mark the three parameter pairs; each requires a narrow interval of x0.
ρ = 0.6
ρ = 0.7
ρ = 0.8
ρ = 0.9
Product 2 (% of own sales)
100%
80%
60%
40%
20%
0%
0.1
0.3
0.5
0.7
0.8
0.9
Outside option p_0
1
2
3
Fluid monopoly
Fluid competition
Monopoly high / competition low for some common x0